HARRINGTON RE LTD.

Consolidated Financial Statements and Independent Auditors' Report

For the Years Ended December 31, 2024 and 2023

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Independent Auditor's Report

To the Board of Directors and Shareholder of
Harrington Re Ltd.

Opinion

We have audited the consolidated financial statements of Harrington Re Ltd. (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of income, changes in shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of their operations, changes in their shareholder's equity and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a period of one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

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Independent Auditor's Report (cont'd)

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the disclosure of short-duration contracts included in Note 3 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not part of the basic financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United Stated of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Deloitte Ltd.

May 30, 2025

HARRINGTON RE LTD.
CONSOLIDATED BALANCE SHEETS
As of December 31, 2024 and 2023
(U.S. dollars in thousands, except share and per share amounts)

		2024		2023
Assets				
Investments *(Cost 2024: $1,085,571; 2023: $1,296,877)*	$	1,445,230	$	1,661,673
Cash and cash equivalents		137,732		99,574
Reinsurance balances receivable		126,804		171,598
Deferred acquisition costs		44,122		57,470
Prepaid expenses		559		2,552
Other assets		10,988		45,494
Total assets	$	1,765,435	$	2,038,361
Liabilities				
Reserve for losses and loss expenses	$	794,479	$	879,973
Unearned premiums reserve		149,089		196,426
Credit facility loan payable		60,000		70,000
Accounts payable and accrued expenses		18,915		17,196
Other liabilities		15,809		16,681
Total liabilities		1,038,292		1,180,276
Shareholder's equity				
Common shares		1,000		1,000
Contributed surplus		596,421		648,421
Retained earnings		129,722		208,664
Total shareholder's equity		727,143		858,085
Total liabilities and shareholder's equity	$	1,765,435	$	2,038,361

See Notes to the Consolidated Financial Statements

HARRINGTON RE LTD.
CONSOLIDATED STATEMENTS OF INCOME
For the Years Ended December 31, 2024 and 2023
(U.S. dollars in thousands)

	2024	2023
Revenues		
Gross premiums written	$ 218,327	$ 292,358
Change in unearned premiums reserve	47,338	6,292
Net premiums earned	265,665	298,650
Net investment income	45,968	72,034
Other income	13,482	-
Total revenues	325,115	370,684
Expenses		
Losses and loss expenses	184,387	223,101
Acquisition costs	73,092	81,993
General and administrative expenses	10,133	9,216
Corporate expenses	6,381	5,461
Financing costs	63	43
Foreign exchange loss	1	2,040
Total expenses	274,057	321,854
Net income	$ 51,058	$ 48,830

See Notes to the Consolidated Financial Statements

HARRINGTON RE LTD.
CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY
For the Years Ended December 31, 2024 and 2023
(U.S. dollars in thousands)

	2024	2023
Common shares		
Balance at beginning and end of year	$ 1,000	$ 1,000
Contributed surplus		
Balance at beginning of year	648,421	648,421
Distribution paid to parent	(52,000)	-
Balance at end of year	596,421	648,421
Retained earnings		
Balance at beginning of year	208,664	214,834
Net income	51,058	48,830
Common share dividends	(130,000)	(55,000)
Balance at end of year	129,722	208,664
Total shareholder's equity	$ 727,143	$ 858,085

See Notes to the Consolidated Financial Statements

HARRINGTON RE LTD.
CONSOLIDATED STATEMENTS OF CASH FLOWS
For the Years Ended December 31, 2024 and 2023
(U.S. dollars in thousands)

	2024	2023
Operating activities:		
Net income	$ 51,058	$ 48,830
Adjustments to reconcile net income to net cash provided by operating activities:		
Net realized gains and net change in unrealized gains and losses on investments	(25,318)	(53,112)
Net (accretion) amortization of (discount) premium on fixed maturities	(1,768)	1,742
Changes in:		
Reinsurance balances receivable	44,794	12,371
Deferred acquisition costs	13,348	4,361
Prepaid expenses	1,993	1,114
Reserve for losses and loss expenses	(37,773)	82,774
Unearned premiums reserve	(47,337)	(6,292)
Other assets	35,637	(5,679)
Other items	11,660	10,749
Net cash provided by operating activities	46,294	96,858
Investing activities:		
Purchases of investments	(205,839)	(316,781)
Sales of investments	396,344	249,855
Net cash provided by / (used in) investing activities	190,505	(66,926)
Financing activities:		
Dividends paid to parent	(130,000)	(55,000)
Distribution paid to parent	(52,000)	-
Repayment of credit facility borrowings	(10,000)	-
Payments for redemptions from general partner of the fund	(6,368)	
Net cash used in financing activities	(198,368)	(55,000)
Effect of exchange rate changes on foreign currency cash and cash equivalents	(273)	178
Net increase (decrease) in cash and cash equivalents	38,158	(24,890)
Cash and cash equivalents, beginning of year	99,574	124,464
Cash and cash equivalents, end of year	$ 137,732	$ 99,574
Interest paid	$ 5,196	$ 4,990

See Notes to the Consolidated Financial Statements

1. General

Harrington Re Ltd. ("Harrington Re") was incorporated under the laws of Bermuda on March 16, 2016, and is a wholly-owned subsidiary of Harrington Reinsurance Holdings Limited (the "Parent"). The Parent was incorporated under the laws of Bermuda on March 15, 2016.

Harrington Re is licensed as a Class 4 multi-line insurer under the Insurance Act 1978, amendments thereto and Related Regulations of Bermuda (the "Insurance Act") and is licensed to underwrite general business on an insurance and reinsurance basis. Harrington Re was licensed by the Bermuda Monetary Authority (the "BMA") effective June 22, 2016 and commenced its operations subsequently. Harrington Re provides a broad range of reinsurance products on a worldwide basis.

During the second quarter of 2016, the Parent raised $542.0 million in net proceeds through the issuance of its common shares.

AXIS Capital Holdings Limited ("AXIS Capital") through a wholly-owned subsidiary, AXIS Ventures Limited (effective March 8, 2023, AXIS Ventures Limited changed its name to AXIS ILS Ltd.), invested $100.0 million and acquired 18.1% of the Parent's common equity. The investment was subsequently increased to 19.0% of the Parent's common equity. The Blackstone Group Inc. ("Blackstone Group"), through a wholly-owned subsidiary, together with investment entities formed for certain senior professionals and employees of the Blackstone Group, have in total acquired 9.9% of the Parent's common equity. Following tender offers made by the Parent for a portion of its outstanding shares, AXIS Capital currently owns 21.6% of the Parent's common equity and the Blackstone Group owns 10.8% of the Parent's common equity.

Harrington Re has engaged AXIS Reinsurance Managers Limited ("ARM" or the "Liability Manager"), a company incorporated in Bermuda and a wholly-owned subsidiary of AXIS Capital, to act as its liability manager pursuant to a services agreement dated July 1, 2016, as amended and restated (the "Services Agreement"). The Liability Manager manages the day-to-day underwriting activities of Harrington Re subject to the provisions of the Services Agreement and the oversight of Harrington Re's management and Board of Directors (the "Board"). See Note 13, *"Related party transactions"* for further details.

Pursuant to an investment management agreement dated July 1, 2016, as amended (the "Investment Management Agreement") between Blackstone Harrington Partners L.P., a Cayman Islands exempted limited partnership (the "Fund") and Blackstone Multi-Asset Advisors L.L.C., a Delaware limited liability company and an affiliate of the Blackstone Group ("BMAA"), which was assigned by BMAA to Blackstone ISG-II Advisors L.L.C., a Delaware limited liability company and an affiliate of the Blackstone Group ("BISA-II" or the "Investment Manager"), as of October 1, 2017, BISA-II serves as the investment manager of the assets of Harrington Re that are invested in the Fund. Blackstone Harrington Associates L.L.C., a Delaware limited liability company (the "General Partner"), serves as the general partner of the Fund. Harrington Re is the sole limited partner of the Fund. The Fund seeks to achieve attractive risk-adjusted returns through a portfolio of diversified investments, which includes a significant allocation to alternative assets. See Note 13, *"Related party transactions"* for further details.

2. Significant accounting policies

(a) Basis of Presentation

These consolidated financial statements have been prepared in accordance with accounting policies generally accepted in the United States of America ("U.S. GAAP") and include the accounts of Harrington Re and Blackstone Harrington Partners L.P., a variable interest entity ("VIE") in which Harrington Re is considered to be the primary beneficiary (together referred to as the "Company", and together with the Parent, the "Group").

The Company is the primary beneficiary of a VIE if it has a controlling financial interest in a VIE, if it has both (a) the power to direct the activities of a VIE that most significantly impact the performance of a VIE, and (b) the obligation to absorb losses or the right to receive benefits from a VIE that could potentially be significant to a VIE.

All intercompany accounts and transactions have been eliminated.

All amounts are reported in U.S. dollars. Tabular data are in thousands.

The preparation of the consolidated financial statements requires management to make estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. While management believes that the amounts included in the consolidated financial statements reflect its best estimates and assumptions, actual results could differ from those estimates.

2. Significant accounting policies (cont.)

(b) Premiums and Acquisition Costs

Premiums

Reinsurance premiums written are recorded in accordance with the terms of the underlying policies. Reinsurance premiums are recorded at the inception of the contract and are estimated based upon information received from ceding companies. For multi-year contracts where reinsurance premiums are payable in annual installments, premiums are recorded at the inception of the contract based on management's best estimate of total premiums to be received. However, premiums are normally recognized on an annual basis for multi-year contracts where the cedant has the ability to unilaterally commute or cancel coverage within the term of the policy. The remaining annual premiums are included as written at each successive anniversary date within the multi-year term. Any subsequent differences arising on reinsurance premium estimates are recorded in the period they are determined.

Reinsurance premiums are generally earned based on information received from ceding companies over the period during which we are exposed to the underlying risk, which is usually one to two years with the exception of multi-year contracts. Unearned premiums represent the portion of premiums written which is applicable to the unexpired risks under contracts in force.

Reinstatement premiums are recognized and earned at the time a loss event occurs, where the coverage limits for the remaining life of the contract are reinstated under pre-defined contract terms. The accrual of reinstatement premiums is based on an estimate of losses and loss expenses, which reflects management's judgment, as described in Note 2(c) *"Losses and Loss Expenses"* below.

Treatment of retroactive reinsurance contracts is described in Note 2(d) *"Retroactive reinsurance accounting"*.

Premiums receivable balances are reviewed for impairment at least quarterly and an allowance is established for amounts considered uncollectible. The need for charge-off of any amounts previously reserved as uncollectible is assessed on a quarterly basis.

Acquisition Costs

Acquisition costs vary with and are directly related to the acquisition of reinsurance contracts and consist primarily of fees and commissions paid to brokers, underwriting fees paid to the Liability Manager and premium taxes. Premiums receivable are presented net of applicable acquisition costs when contract terms provide for the right of offset.

Total acquisition costs are deferred and charged to expense as the related premium is earned. Anticipated losses and loss expenses, other costs and investment income related to these premiums are considered in assessing the recoverability of our deferred acquisition costs. If deferred amounts are estimated to be unrecoverable, they are expensed.

2. Significant accounting policies (cont.)

(c) Losses and Loss Expenses

The reserve for losses and loss expenses represents an estimate of the unpaid portion of our ultimate liability for losses and loss expenses for reinsured events that have occurred at or before the balance sheet date. The balance reflects both claims that have been reported to the Company ("case reserves") and claims that have been incurred but not yet reported to the Company ("IBNR"). IBNR includes an estimate for expected increases in case reserves which have not yet been allocated to case reserves. These amounts are reduced for estimated amounts of salvage and subrogation recoveries.

Management reviews our reserve for losses and loss expenses on a quarterly basis. Case reserves are primarily established based on amounts reported by the ceding companies. Management estimates IBNR after reviewing detailed actuarial analyses and applying informed judgment regarding qualitative factors that may not be fully captured in the actuarial estimates. A variety of actuarial methods are utilized in this process, including the Expected Loss Ratio, Bornhuetter-Ferguson and Chain Ladder methods. The reserve estimate is highly dependent on judgment as to which method(s) are most appropriate for a particular accident year and class of business. The historical claims data is often supplemented with industry benchmarks when applying these methodologies.

Any adjustments to the previous reserve for losses and loss expenses estimates are recognized in the period they are determined. While management believes that the reserves for losses and loss expenses are adequate, this estimate requires significant judgment and new information, events or circumstances may result in ultimate losses that are materially greater or less than provided for in the Consolidated Balance Sheets.

Treatment of retroactive reinsurance contracts is described in Note 2(d) *"Retroactive reinsurance accounting"*.

(d) Retroactive reinsurance accounting

Retroactive reinsurance reimburses a ceding company for liabilities incurred as a result of past insurable events covered by the underlying policies reinsured. Written premiums are fully earned and corresponding losses and loss expenses are recognized at inception. In the years that these type of contracts are written, significant variances may occur in gross premiums written, net premiums earned and losses and loss expenses.

Underwriting income (loss) generated in connection with retroactive reinsurance contracts is recorded in the Consolidated Balance Sheets as an Other Liability (Asset) and amortized using the interest method over the expected claims settlement period. This amortization is recognized within losses and loss expenses in the Consolidated Statements of Income. Subsequent changes in estimated or actual cash flows under such retroactive reinsurance contracts are accounted for by adjusting the previously deferred amount to the balance that would have existed had the revised estimate been available at the inception of the reinsurance transaction, with a corresponding charge or credit to income.

2. Significant accounting policies (cont.)

(e) Investments

Investments in fixed maturities are classified as trading in accordance with ASC 320 *"Investments – Debt and Equity Securities"*. Fixed maturity investments are reported at fair value in the Consolidated Balance Sheets with changes in fair value included in earnings in the Consolidated Statements of Income.

The fair value of investments in investment funds is generally determined using the reported Net Asset Value ("NAV") per share of the investment fund, or its equivalent, as a practical expedient for fair value, if the reported NAV of the investment fund is calculated in a manner consistent with the measurement principles applied to investment companies. In order to use the practical expedient, the Company has internal processes to independently evaluate the fair value measurement process utilized by the underlying investment fund to calculate the investment fund's NAV. Such internal processes include the evaluation of the investment fund's process and related internal controls in place to estimate the fair value of its underlying investments that are included in the NAV calculation, performing ongoing operational due diligence, review of the investment fund's audited financial statements, and ongoing monitoring of other relevant qualitative and quantitative factors.

Equity securities are reported at fair value in the Consolidated Balance Sheets. The change in the fair values of equity securities is included in earnings in the Consolidated Statement of Income.

The Investment Manager values investments according to U.S. GAAP which defines fair value, establishes a framework for measuring fair value, and requires enhanced disclosures regarding fair value measurements. Fair value is the amount that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date (i.e., the exit price) under current market conditions.

Valuation Techniques

Described below are valuation techniques employed by the Investment Manager to determine investment valuations.

The Investment Manager receives market and investment specific data ("Market Data"), including quotations from market participants and pricing services that is used to determine investment fair values. The Investment Manager evaluates Market Data received from market participants and pricing services for investments that are publicly traded as well as private assets that are not traded on an exchange and may require significant judgment when determining the valuation. Investments in open ended registered investment companies are valued at the published daily quotation of their net asset value.

When selecting price sources, the Investment Manager generally prioritizes fair value price sources that are most observable for each investment. Below is a listing of the valuation techniques used by the Investment Manager to determine the fair value of the Company's investments as of the measurement date. See Note 5, "*Fair value measurements*", for further discussion relating to the valuation of the Company's investments.

2. Significant accounting policies (cont.)

Over the counter ("OTC") market prices

Certain investments that trade on OTC markets may also utilize published transaction prices when it is both readily available and representative of fair value.

Market Participant and Pricing Service quotations

Certain investments that trade on OTC markets, where published transaction prices are not utilized are generally valued with indications of fair value from market participants and pricing services ("Quotations").

To determine the fair value of an investment, market participants and pricing services may consider observable market transactions for identical or similar investments, quotations by other market participants, pricing matrices or pricing relationships between investments with similar characteristics.

When evaluating quotations from a pricing service, the Investment Manager may consider the number of indications of fair value from market participants, the ability to transact at such prices based on recent trading activity, reviews of Quotations and prices for similar assets, as well as other Market Data.

Modeled values

Investments that are privately held or thinly traded are generally characterized by few or no Quotations and often rely on significant unobservable inputs. The General Partner performs an analysis of these investments incorporating current market conditions, investment terms, capital structure and comparable investments at the measurement date. The General Partner may consider one or more valuation techniques discussed below to derive fair value and may apply a significant degree of judgment regarding technique weighting, internal and external assumptions that may be quantitative or qualitative in nature. Under certain circumstances recent transaction prices may be the best indicator of fair value given the proximity of the investment acquisition date to the measurement date.

Performance Multiple Methodology

A relative valuation approach where a set of comparable public or private companies and/or transactions are identified and used to determine a multiple of value that is applied to a financial measure for the investment. Earnings before interest, taxes, depreciation and amortization ("EBITDA"), is generally used as the basis for investment multiples and may be obtained from unaudited or preliminary financial data.

Discounted cash flow – equity investments

For certain equity investments the General Partner will use projected unlevered free cash flows of the portfolio company. The terminal value is projected using an assumed exit multiple, which is generally based on the performance multiple methodology. All cash flows and the terminal value are discounted back to the valuation date using a discount rate which represents the return a market participant would require for a similar investment and risk profile. The calculation results in an enterprise value which is then reduced by the amount of the net debt outstanding to arrive at the equity value.

2. Significant accounting policies (cont.)

Valuation Process

On a quarterly basis, the General Partner validates its valuations of Level 3 investments through back testing of sales of certain material investments by comparing the amounts realized against the most recent fair values reported, and if necessary, uses any findings to recalibrate its valuation procedures.

Net investment income

Net investment income in the Consolidated Statements of Income includes the interest income generated by our cash and cash equivalents, the change in the value of investments managed in the Fund, and is net of investment related expenses. The change in the value of investments managed in the Fund includes the interest and dividend income received by the Fund, realized and unrealized investment gains and losses together with amortization of market premiums and discounts and is net of investment management fees, borrowing costs relating to the credit facilities loans payable and other investment related expenses.

Investment gains or losses realized on the sale of investments are determined on a first-in, first-out basis. See Note 4, *"Investments"* for further details.

(f) Derivative instruments

The Company may enter into derivative instruments such as futures, options, interest rate swaps and foreign currency forward contracts as part of its overall foreign currency risk management strategy, to obtain exposure to a particular financial market or for yield enhancement. The Company measures all derivative instruments at fair value and recognizes them as either assets or liabilities in the Consolidated Balance Sheets. Subsequent changes in fair value and any realized gains or losses are recognized in the Consolidated Statements of Income.

(g) Cash and cash equivalents

Cash and cash equivalents include cash and investments with original maturities of three months or less.

Cash and cash equivalents are recorded at amortized cost, which approximates fair value due to the short-term, liquid nature of these securities.

(h) Share-Based Compensation

The Parent is authorized to issue stock options and restricted share units to the Company's eligible employees. The fair value of the compensation cost relating to service-based awards is measured at the grant date and expensed on a straight-line basis over the period for which the employee is required to provide services in exchange for the award. The fair value of performance-based awards is measured at the grant date based on pre-established targets relating to certain performance-based measures, with the associated expense recognized on a straight-line basis over the applicable performance and vesting period. Forfeiture benefits are estimated at the time of grant and incorporated in the determination of share-based compensation.

2. Significant accounting policies (cont.)

(i) Foreign Exchange

The Company's functional currency is the U.S. dollar. Revenues and expenses denominated in foreign currencies are revalued at the prevailing exchange rate at the transaction date. Monetary assets and liabilities denominated in foreign currencies are re-measured at exchange rates in effect at the balance sheet date, which may result in the recognition of foreign exchange gains or losses which are included in the determination of net income.

3. Reserve for losses and loss expenses

The reserve for losses and loss expenses comprises the following as of December 31, 2024 and 2023:

		2024		2023
Reserve for reported losses and loss expenses	$	295,946	$	308,484
Reserve for losses incurred but not reported		498,533		571,489
Reserve for losses and loss expenses	**$**	**794,479**	**$**	**879,973**

The following table presents a reconciliation of the beginning and ending reserve for losses and loss expenses for the years ended December 31, 2024 and 2023:

		2024		2023
Reserve for losses and loss expenses at beginning of year	$	879,973	$	797,198
Incurred losses and loss expenses relating to losses occurring in:				
Current year		182,180		203,660
Prior years		2,207		19,441
Total incurred losses and loss expenses		184,387		223,101
Paid losses and loss expenses relating to losses occurring in:				
Current year		(22,136)		(24,397)
Prior years		(153,236)		(118,414)
Total paid losses and loss expenses		(175,372)		(142,811)
Foreign exchange movements		(879)		6,882
Change in other assets and liabilities		(1,104)		(4,397)
Reserve for losses and loss expenses disposed [(1)]		(92,526)		-
Reserve for losses and loss expenses at end of year	**$**	**794,479**	**$**	**879,973**

(1) Reserve for losses and loss expenses disposed of $92.5 million represents the loss and loss expense reserves that were transferred out as part of the novation transaction described below.

3. Reserve for losses and loss expenses (cont.)

In prior years, the Company has entered into retroactive reinsurance contracts which has resulted in the recognition of a deferred charge asset and an other liability, which are shown as part of Other Assets and Other Liabilities, respectively. The deferred charge asset and other liability are amortized over the expected remaining loss settlement period using the interest method, and the periodic amortization is charged to earnings as a component of losses and loss expenses. Subsequent changes in estimated cash flows under these reinsurance contracts has resulted in adjustments to the reserve for losses and loss expenses. These adjustments are accounted for by adjusting the deferred charge asset / other liability to the balance that would have existed had the revised cash flow estimates been available at the inception of the reinsurance transaction. For the year ended December 31, 2024, $0.7 million of amortization income relating to these contracts has been recognized within losses and loss expenses (December 31, 2023: $0.3 million).

During 2024, the Company entered into a novation transaction which resulted in $92.5 million of loss and loss expense reserves relating to a retroactive reinsurance contract being transferred to a third-party. The net consideration for the transaction was $48.2 million which was settled by a transfer of fixed maturities of $47.7 million and cash of $0.5 million. The transaction resulted in a derecognition of a deferred charge asset, which was included in the Other Asset balance in the Consolidated Balance Sheets, of $30.0 million. After transaction-related expenses, the Company recognized a gain of $13.5 million related to this transaction. This gain is shown as Other Income in the Consolidated Statements of Income.

During 2024, the Company recorded net unfavorable prior year loss reserve development of $2.9 million arising from changes to prior year loss and loss expense reserve estimates. This includes $33.0 million related to unfavorable prior year loss reserve development, primarily in the liability lines of business. This was largely offset by $30.1 million of favorable loss reserve development, primarily in the professional and motor lines of business.

During 2023, the Company recorded net unfavorable prior year loss reserve development of $19.7 million arising from changes to prior year loss and loss expense reserve estimates. This includes $32.4 million related to unfavorable prior year loss reserve development, primarily in the professional and liability lines of business. This was partially offset by $12.7 million of favorable loss reserve development in the motor, and accident and health lines of business.

Loss development tables

The Company has disaggregated its loss reserve information below by its major lines of business. The Company has presented the below development tables for all accident years shown using exchange rates as of December 31, 2024. All accident years prior to the current year have also been presented using the current year exchange rates.

3. Reserve for losses and loss expenses (cont.)

Liability

Incurred Losses and Loss Expenses
Years Ended December 31,

Accident Year	2016 (Unaudited)	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024	December 31, 2024 Total of IBNR Reserves Plus Expected Development on Reported Losses
2016	$ 24,883	$ 25,986	$ 26,770	$ 25,216	$ 30,050	$ 30,661	$ 32,709	$ 36,331	$ 37,254	$ 3,406
2017		53,715	53,558	56,133	59,189	60,261	62,326	68,481	69,819	8,786
2018			50,661	52,570	54,989	55,142	60,629	65,128	68,525	11,603
2019				53,602	55,922	58,998	59,492	61,626	69,070	13,246
2020					78,028	79,506	82,702	79,002	83,781	25,120
2021						90,373	99,596	98,914	102,244	40,732
2022							89,827	94,788	99,302	57,972
2023								81,906	89,226	63,671
2024									70,297	61,532
								Total	$ 689,518	

Cumulative Paid Losses and Loss Expenses
Years Ended December 31,

Accident Year	2016 (Unaudited)	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024
2016	$ 1,303	$ 4,783	$ 7,071	$ 11,058	$ 13,784	$ 17,471	$ 20,379	$ 23,774	$ 26,814
2017		1,200	7,757	15,097	24,499	30,931	37,953	44,592	49,762
2018			2,849	7,833	15,740	23,226	30,188	37,907	44,266
2019				2,510	7,878	14,856	22,287	30,109	38,075
2020					3,514	10,328	18,395	29,047	40,757
2021						2,598	13,271	25,551	42,294
2022							3,099	9,932	22,102
2023								3,158	11,250
2024									3,324
								Total	$ 278,644
								Reserve for losses and loss expenses	**$ 410,874**

3. Reserve for losses and loss expenses (cont.)

Professional

Incurred Losses and Loss Expenses
Years Ended December 31,

Accident Year	2016 (Unaudited)	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024	December 31, 2024 Total of IBNR Reserves Plus Expected Development on Reported Losses
2016	$ 14,342	$ 14,767	$ 15,772	$ 15,856	$ 16,736	$ 17,180	$ 18,085	$ 20,110	$ 19,774	$ 1,927
2017		40,578	41,556	45,061	48,938	51,120	55,737	60,640	61,867	6,415
2018			43,645	44,263	47,185	48,726	53,686	60,480	63,160	7,907
2019				29,526	30,677	31,603	32,981	34,062	35,234	4,873
2020					30,403	30,660	30,900	29,253	25,948	6,828
2021						34,103	35,092	34,638	25,976	12,389
2022							48,244	49,627	42,999	29,847
2023								42,860	39,872	32,390
2024									27,992	25,718
								Total	$ 342,822	

Cumulative Paid Losses and Loss Expenses
Years Ended December 31,

Accident Year	2016 (Unaudited)	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024
2016	$ 18	$ 879	$ 2,391	$ 4,624	$ 6,630	$ 8,159	$ 11,050	$ 12,681	14,794
2017		689	4,297	10,233	17,142	23,261	31,165	36,781	43,724
2018			1,622	6,507	13,000	19,297	27,575	36,046	43,406
2019				1,015	3,747	7,560	12,086	16,637	21,830
2020					740	3,027	5,936	8,959	12,977
2021						886	2,547	5,314	8,664
2022							707	2,878	6,949
2023								518	3,191
2024									689
								Total	$ 156,224
								Reserve for losses and loss expenses	**$ 186,598**

3. Reserve for losses and loss expenses (cont.)

Motor

Incurred Losses and Loss Expenses
Years Ended December 31,

Accident Year	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024	December 31, 2024 Total of IBNR Reserves Plus Expected Development on Reported Losses
2017	$ 3,673	$ 4,060	$ 3,883	$ 3,598	$ 3,722	$ 3,630	$ 3,767	$ 3,744	$ 132
2018		11,843	11,520	12,161	10,631	10,049	9,693	8,656	251
2019			21,347	20,262	18,801	17,521	16,065	16,167	259
2020				23,414	22,392	23,339	18,202	17,221	331
2021					22,025	23,758	22,240	19,503	353
2022						30,898	33,451	30,933	1,971
2023							33,699	32,180	5,953
2024								24,096	16,864
							Total	$ 152,500	

Cumulative Paid Losses and Loss Expenses
Years Ended December 31,

Accident Year	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024
2017	$ 3	$ 13	$ 37	$ 289	$ 408	$ 792	$ 1,126	$ 1,212
2018		1	31	114	557	1,386	2,667	4,250
2019			520	1,720	3,047	4,015	5,551	7,948
2020				1,771	4,679	5,472	6,159	7,195
2021					2,156	4,069	5,001	6,624
2022						2,564	6,637	11,446
2023							4,236	9,252
2024								3,266
							Total	$ 51,193
							Reserve for losses and loss expenses	**$ 101,307**

3. Reserve for losses and loss expenses (cont.)

Other

Incurred Losses and Loss Expenses
Years Ended December 31,

Accident Year	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024	December 31, 2024 Total of IBNR Reserves Plus Expected Development on Reported Losses
2017	$ 20,914	$ 23,501	$ 22,823	$ 23,130	$ 22,736	$ 22,318	$ 24,062	$ 23,029	$ 381
2018		35,796	34,820	37,291	34,789	34,218	36,633	35,770	463
2019			41,850	39,761	42,983	42,800	39,796	39,440	656
2020				43,822	42,443	41,585	39,202	38,506	587
2021					34,662	33,523	32,451	32,471	869
2022						39,214	35,892	34,683	3,107
2023							45,195	44,777	8,306
2024								59,795	40,845
							Total	$ 308,471	

Cumulative Paid Losses and Loss Expenses
Years Ended December 31,

Accident Year	2017 (Unaudited)	2018 (Unaudited)	2019 (Unaudited)	2020 (Unaudited)	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024
2017	$ 2,681	$ 13,993	$ 19,035	$ 20,166	$ 20,539	$ 20,980	$ 21,912	$ 21,945
2018		11,393	24,063	32,561	31,751	32,353	32,881	33,320
2019			16,416	28,740	33,592	33,918	35,665	36,018
2020				12,258	28,092	36,045	33,558	36,202
2021					8,934	22,671	28,225	29,966
2022						11,561	25,797	30,253
2023							16,485	31,136
2024								14,858
							Total	$ 233,698
							Reserve for losses and loss expenses	**$ 74,773**

3. Reserve for losses and loss expenses (cont.)

The reporting of cumulative claims frequency is deemed to be impracticable as the information necessary to provide cumulative claims frequency for these reserve classes is not available to the Company.

Reconciliation of loss development information to the Reserve for Losses and Loss Expenses

The following table reconciles the loss development information to the Company's reserves for losses and loss expenses as of December 31, 2024:

		2024
Reserve for losses and loss expenses		
Liability	$	410,874
Professional		186,598
Motor		101,307
Other		74,773
Total		773,552
Foreign exchange and other[1]		(322)
Assumed reserves related to retroactive transactions[2]		21,249
Total reserve for losses and loss expenses	**$**	**794,479**

[1] Non-U.S. dollar denominated loss data is converted to U.S. dollar at the rates of exchange in effect at the balance sheet date for material underlying currencies. Fluctuations in foreign currency exchange rates may cause material shifts in loss development. Reserves for losses and loss expenses disclosed in the Consolidated Balance Sheets are also revalued using the exchange rate at the balance sheet date.
[2] For retroactive insurance contracts we do not believe that analysis of losses incurred and paid by accident year of the underlying event is relevant or meaningful given that our exposure to losses incepts when the contract incepts. Further, in this instance, we believe that the classifications of reported claims and case development liabilities to have no practical analytical value.

Historical loss duration

The following table summarizes the historic average annual percentage payout of incurred losses by age by major line of business as of December 31, 2024:

	Average Annual Percentage Payout of Incurred Losses by Age 2024 (Unaudited)								
	Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**	**Year 6**	**Year 7**	**Year 8**	**Year 9**
Liability	3.5%	8.5%	10.3%	12.5%	10.4%	10.7%	8.9%	8.3%	8.2%
Professional	2.0%	6.6%	10.0%	11.6%	12.3%	12.2%	11.8%	9.7%	10.7%
Motor	7.5%	9.1%	5.8%	6.0%	7.1%	13.3%	13.6%	2.3%	NA
Other	29.9%	39.0%	18.1%	0.5%	3.6%	1.4%	2.6%	0.1%	NA

N/A – Not applicable

4. Investments

The Company's investments are comprised of fixed maturities, investments in funds, and other securities managed by BISA-II in the Fund. The Fund is a Cayman Islands exempted limited partnership that was formed on August 20, 2015 and commenced operations on July 5, 2016. Blackstone Harrington Associates L.L.C., a Delaware limited liability company, serves as the general partner of the Fund. Harrington Re is the sole limited partner of the Fund.

Pursuant to the Investment Management Agreement, the Fund is managed by the Investment Manager. The Investment Manager provides certain administrative and investment management services to the Fund, including the investigation, evaluation, selection, allocation, negotiation, structuring, commitment to, monitoring of and disposition of the Fund's investments (including allocation of the Fund's assets among investment strategies). The General Partner and the Investment Manager are affiliates of the Blackstone Group.

Pursuant to a letter agreement dated as of November 2, 2016 (the "Letter Agreement") between BMAA, which was assigned by BMAA to the Investment Manager as of October 1, 2017, and the Company, the Investment Manager provides (i) certain reporting on the Fund's investment portfolio to the Company's management and the Company's Board of Directors (the "Board") and (ii) assistance and support to the Company's management in connection with the Investment Manager's management of the Fund's portfolio by providing certain supplemental reporting, data, analyses and other support (as mutually agreed) with respect to the Fund.

The Fund seeks to achieve attractive risk-adjusted returns through a portfolio of diversified investments, which includes a significant allocation to alternative asset classes.

The following table summarizes the fair value of the Fund's securities grouped by investment strategy held as of December 31, 2024 and 2023:

	2024	2023
Strategy		
Investment Grade[1]	$ 243,116	$ 294,267
Long Credit[2]	232,573	305,871
Liquid Credit Alternative[3]	24,083	36,355
Private Credit Alternative[4]	37,644	50,439
Real Estate Liquid Credit[5]	256,767	297,031
Private Equity[6]	375,743	368,702
Private Real Estate[7]	242,775	269,182
Tactical Opportunities[8]	32,529	39,826
Total invested assets	1,445,230	1,661,673
Senior Secured Facility Borrowings[9]	(60,000)	(70,000)
Other Balances[10]	98,994	65,180
Limited Partner Net Asset Value at Year End	**$ 1,484,224**	**$ 1,656,853**

4. Investments (cont.)

(1) Investment Grade - This strategy focuses on capital preservation, liquidity, and current income by investing primarily in investment grade fixed income securities while maintaining minimal levels of interest rate risk.

(2) Long Credit - The primary objective of this strategy is to protect principal and generate superior risk-adjusted returns by investing in various forms of senior secured debt obligations, including senior secured loans, senior secured floating-rate notes, and senior secured notes and bonds, as well as collateralized loan and debt obligations.

(3) Liquid Credit Alternative - The primary objective of this strategy is to generate superior risk-adjusted returns by investing in public and private opportunities, primarily in North America and Western Europe.

(4) Private Credit Alternative – This strategy primarily focuses on making privately negotiated mezzanine investments. The strategy focuses on providing capital to upper middle market companies and private equity sponsors in connection with leveraged buyouts, mergers and acquisitions, recapitalizations, growth financings and other corporate transactions.

(5) Real Estate Liquid Credit – This strategy focuses primarily on high yield lending on commercial real estate through new loan originations and purchases of legacy loans and securities, but may otherwise pursue a broad range of real estate related debt and non-controlling equity investments.

(6) Private Equity – This strategy can include investments in funds investing in energy, healthcare, industrial, infrastructure, life sciences, financial services or retail / consumer and other private equity related investments.

(7) Private Real Estate – This strategy primarily invests in funds that invest directly in real estate, real estate investment trusts and other real estate related investments.

(8) Tactical Opportunities - This strategy generally includes investing in assets focused on time-sensitive or other tactical investment ideas across asset classes and geographies. This strategy can also include investing opportunistically in a broad range of private or public securities and instruments, which may be equity or debt or similar thereto.

(9) Senior Secured Facility Borrowings – Relates to the Fund's borrowings under the Company's facility described in Note 7, "*Borrowings Under Credit Facility*".

(10) Other Balances – Includes but is not limited to cash, management fees accruals, performance based allocation to and ownership interest of the General Partner, other interest, and general and administrative expense accruals.

4. Investments (cont.)

There are no restrictions on the Company's ability to withdraw from the Fund, however, (i) the General Partner of the Fund may limit withdrawals as of any withdrawal date for legal, regulatory or contractual reasons, (ii) the ability to withdraw capital from Harrington Re's capital account relating to any Fund investment that is illiquid by its terms will be limited and (iii) the ability to withdraw will be subject to the limitations on withdrawals imposed pursuant to the terms of the governing agreements of the underlying investments that the Fund holds.

See also Note 8, "*Financing arrangements*" for restrictions on the Company's investments imposed by the terms of the Company's credit facilities.

Net Investment Income

The components of net investment income for the years ended December 31, 2024, and 2023, were as follows:

	2024	2023
Realized and unrealized net gains on investments	$ 25,318	$ 53,112
Fund interest and dividend income	37,587	34,784
Fund interest and other expenses	(10,900)	(6,265)
Fund net investment income	52,005	81,631
Amounts attributable to the General Partner of the Fund	(3,502)	(6,491)
Net investment income attributable to the limited partner of the Fund	48,503	75,140
Investment-related general and administrative expenses	(3,182)	(3,994)
Other interest income	647	888
Net investment income	**$ 45,968**	**$ 72,034**

Restricted Assets

In order to support certain of the Company's reinsurance obligations, the Company provides collateral in the form of assets held in trust and through secured letter of credit facilities.

The Company established a Regulation 114 Trust account for the benefit of certain of its cedants to secure reinsurance obligations assumed by Harrington. As of December 31, 2024 the trust held $406.2 million (2023: $317.3 million) of securities in favor of ceding companies to comply with reinsurance contract provisions. The Company's investments held in this trust consisted primarily of high-quality bonds and fixed income investments.

4. Investments (cont.)

The Company established a Trust account for the benefit of certain of its cedants to secure reinsurance obligations assumed by Harrington. As of December 31, 2024 the trust held $697.3 million (2023: $385.4 million) of securities in favor of ceding companies. The Company's investments held in this trust consisted primarily of alternative and fixed income investments.

A secured letter of credit facility forms part of the Company's credit facility with Societe Generale S.A., New York branch, and is secured by certain of the Company's investments managed by BISA-II in the Fund (See Note 8, "*Debt and Financing Arrangements*" for further details).

The Company has also entered into a letters of credits facility with HSBC Bank Bermuda Limited. This facility is secured by certain money market funds which are reported as part of "Cash and cash equivalents" in the Consolidated Balance Sheets (See Note 8, "*Debt and Financing Arrangements*" for further details).

5. Fair value measurements

U.S. GAAP establishes a hierarchal disclosure framework which prioritizes and ranks the level of market price observability used in measuring financial instruments at fair value. Market price observability is affected by a number of factors, including the type of financial instrument, the characteristics specific to the financial instrument and the state of the marketplace, including the existence and transparency of transactions between market participants. Financial instruments with readily available quoted prices in active markets generally will have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.

Financial instruments measured and reported at fair value are classified and disclosed based on the observability of inputs used in the determination of fair values, as follows:

- Level 1 – Financial assets and liabilities whose values are based on unadjusted quoted prices for identical assets or liabilities in active markets (and actively traded) that the Company has the ability to access. The Company does not adjust the quoted price for these investments.

- Level 2 – Pricing inputs and other than quoted prices in active markets (and not actively traded) which are either directly or indirectly observable as of the reporting date, and fair value is determined through the use of models or other valuation methodologies. Financial instruments which are generally included in this category include bonds and collateralized loan obligations where the fair value is based on observable inputs or quotations from market participants and pricing services with higher levels of liquid market observability than Level 3 assets or liabilities.

- Level 3 – Pricing inputs are unobservable for the financial instruments and include situations where there is little, if any, market activity for the financial instrument. Fair value is determined through the use of models or other valuation methodologies such as quotations from market participants and pricing services. The inputs into determination of fair value require significant management judgment of estimation. Some of the factors considered for Level 2 or Level 3 determination include number of observable quotes, and obtained standard deviation of quotes, among other things.

5. Fair value measurements (cont.)

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the determination of which category within the fair value hierarchy is appropriate for any given financial instrument is based on the lowest level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the financial instrument.

Changes in the observability of valuation inputs may result in a reclassification for certain financial assets or liabilities.

The following tables summarize the valuation of the Company's financial instruments measured at fair value on a recurring basis by the fair value hierarchy as of December 31, 2024 and 2023:

2024

Description	Level 1	Level 2	Level 3	NAV as Fair Value	Total
Assets					
Investments					
Bonds	$ 3,466	$ 239,650	$ -	$ -	$ 243,116
Collateralized loan obligations	-	232,573	-	-	232,573
Common equity	-	-	13,291	-	13,291
Money market funds[1]	76,835	-	-	-	76,835
Affiliated Funds					
Investment funds	-	-	-	956,249	956,249
Derivative instruments[2]	1,194	-	-	-	1,194
Total assets	**$ 81,495**	**$ 472,223**	**$ 13,291**	**$ 956,249**	**$ 1,523,258**

(1) Money market funds are included in cash and cash equivalents.
(2) See Note 6, *"Derivatives"*.

5. Fair value measurements (cont.)

2023

Description	Level 1	Level 2	Level 3	NAV as Fair Value	Total
Assets					
Investments					
Bonds	$ 2,860	$ 291,492	$ -	$ -	$ 294,352
Collateralized loan obligations	-	-	305,871	-	305,871
Common equity	-	-	11,367	-	11,367
Money market funds [1]	62,019	-	-	-	62,019
Affiliated Funds					
Investment funds	-	-	-	1,050,083	1,050,083
Derivative instruments [2]	-	1,792	-	-	1,792
Total assets	**$ 64,879**	**$ 293,284**	**$ 317,238**	**$ 1,050,083**	**$ 1,725,484**
Liabilities					
Derivative instruments [2]	$ 3,927	$ -	$ -	$ -	$ 3,927
Total liabilities	**$ 3,927**	**$ -**	**$ -**	**$ -**	**$ 3,927**

[1] Money market funds are included in cash and cash equivalents.
[1] See Note 6, *"Derivatives"*.

5. Fair value measurements (cont.)

Significant Unobservable Inputs Used in Level 3 Measurements

The following table discloses the valuation techniques, significant unobservable inputs, and range of values used for those significant unobservable inputs for assets recognized at fair value and classified as Level 3 under the fair value hierarchy as of December 31, 2024:

	Fair value	Valuation technique	Significant unobservable inputs	Ranges	Weighted average
Investments					
Common equity	13,291	Discounted Cash Flow	Weighted Average Cost of Capital	13.10%	N/A
			EBITDA[(1)] Exit Multiple	16.00x	N/A
Total	**$ 13,291**				

(1) "EBITDA" is defined as earnings before interest, tax, depreciation and amortization.

N/A – Not applicable

The following table summarizes purchases, transfers in and transfers out of Level 3 investments during the year ended December 31, 2024:

	Collateralized Loan Obligations
Purchases	$ -
Transfers in	$ -
Transfers out	$ (185,903)

Securities were transferred from Level 3 to Level 2 as observable inputs were available for purposes of valuing those assets.

Fair Value of Other Financial Instruments

The fair value of financial instruments accounting guidance also applies to financial instruments disclosed, but not carried, at fair value, except for certain financial instruments, including insurance contracts. The fair value of the Company's other assets and liabilities, which qualify as financial instruments under ASC Topic 825, Financial Instruments, approximates the carrying amounts presented in the consolidated financial statements. As these financial instruments are not actively traded, their fair values are classified as Level 2.

6. Derivatives

The Company holds assets and liabilities in foreign currencies and thus is exposed to foreign currency risk. The Company may enter into foreign currency forward exchange contracts to manage the exposure to this foreign currency risk. These foreign currency forward exchange contracts are used as economic hedges and are not designated as hedging instruments for financial reporting purposes.

In the normal course of business, the Company enters into transactions involving interest rate futures contracts in connection with its investing activities. These derivatives are used as economic hedges and are not designated as hedging instruments for financial reporting purposes.

The following table summarizes information on the classification and amount of the fair value of derivatives within the Company's Consolidated Balance Sheets as of December 31, 2024 and 2023:

	December 31, 2024			December 31, 2023		
Derivative Instrument	**Notional Amount**	**Asset Derivative at Fair Value [1]**	**Liability Derivative at Fair Value [1]**	**Notional Amount**	**Asset Derivative at Fair Value [1]**	**Liability Derivative at Fair Value [1]**
Foreign currency forward contracts	$ -	$ -	$ -	$ 89,237	$ 1,792	$ -
Interest rate futures contracts	145,036	1,194	-	169,335	-	3,927
Total	**$ 145,036**	**$ 1,194**	**$ -**	**$ 258,572**	**$ 1,792**	**$ 3,927**

[1] Asset and liability derivatives are classified within Other Assets and Other Liabilities, respectively, within the Company's Consolidated Balance Sheets.

The following table summarizes information on the classification and net impact on earnings, recognized in the Company's Consolidated Statements of Income, relating to derivative instruments during the years ended December 31, 2024 and 2023:

		Years Ended December 31,	
Derivative Instrument	**Classification of gains/ losses recognized in earnings**	**2024**	**2023**
Foreign currency forward contracts	Foreign exchange loss/(gain)	$ -	$ (4,305)
Interest rate futures contracts	Net investment income	$ 778	$ 7,847

There was no balance sheet offsetting activity as of December 31, 2024 or 2023.

Where required, the Company provides collateral for the foreign exchange forward contract positions in the form of a reduction in the aggregate commitment available amount under its credit facility arrangement with Societe Generale S.A., New York branch (the "Bank"). See Note 8, *"Financing arrangements"* for more details.

7. Commitments and contingencies

(a) Concentrations of Credit Risk

Credit Risk Aggregation

The Company monitors and manages the aggregation of credit risk on a group-wide basis allowing consideration of exposure management strategies for individual countries, regions, sectors and any other relevant inter-dependencies. The creditworthiness of each counterparty is evaluated by the Company, taking into account credit ratings assigned by independent agencies.

Credit risk aggregation is also managed through monitoring of overlaps in underwriting, financing and investing activities.

The assets that potentially subject the Company to concentrations of credit risk consist principally of cash and cash equivalents, our investments portfolio and reinsurance premiums receivable balances, as described below.

Cash and Cash Equivalents

In order to mitigate concentration and operational risks related to cash and cash equivalents, the Company utilizes only well-established highly-rated financial institutions and money-market funds.

Investments

The Company's investment portfolio is managed by the Investment Manager in accordance with the investment guidelines set-out in the Investment Management Agreement. The Investment Management Agreement provides for the limitation of the credit risk through specific investment portfolio diversification requirements, investment concentration limitations as well as detailed liquidity provisions. As of December 31, 2024, the Fund was in compliance with the requirements of the Investment Management Agreement.

Premiums Receivable Balances

The Company manages its credit risk in its reinsurance relationships by transacting with counterparties that it considers financially sound. For all of its reinsurance contracts the Company has the contractual right to offset premiums receivable with corresponding payments for losses and loss expenses. These contractual rights contribute to the mitigation of credit risk, as does the monitoring of aged receivable balances. In light of these mitigating factors and considering that a significant portion of the premiums receivable are not currently due based on the terms of the underlying contracts, the Company does not utilize specific credit quality indicators to monitor the premiums receivable balance. The Company did not record any bad debts expense charges in the years ended December 31, 2024 or 2023.

7. Commitments and contingencies (cont.)

(b) Legal Proceedings

From time to time, as is common in the insurance industry, the Company may be subject to routine legal proceedings, including arbitrations, arising in the ordinary course of business. These legal proceedings generally relate to claims asserted by or against the Company in the ordinary course of reinsurance operations; estimated amounts payable under such proceedings are included in the reserve for losses and loss expenses in the Consolidated Balance Sheets. As of December 31, 2024, the Company was not party to any legal proceedings.

(c) Employment and Other Arrangements

As of December 31, 2024, the Company has entered into employment agreements with its executive officers. Such employment arrangements provide for compensation in the form of base salary, annual bonus, participation in the Company's employee benefit programs and the reimbursements of expenses.

(d) Other Commitments

Please see Note 13, *"Related party transactions"* for details on the commitments under the Services Agreement and the Investment Management Agreement.

8. Financing arrangements

Credit Facilities

On July 6, 2016, the Company entered into an aggregate credit facility arrangement with Societe Generale S.A., New York branch (the "Credit Facility"). The Credit Facility, as amended, expires on January 15, 2026, but may be extended with the Bank's consent to January 15 of the second following calendar year by giving notice to the Bank by July 15, 2025. The Bank may elect to terminate the Credit Facility by providing an irrevocable written notice to the Company not less than 365 days prior to the proposed date of termination. No such notice was received as of December 31, 2024.

The aggregate commitment available under the Credit Facility was $280.0 million available from December 15, 2022 and was decreased to $160 million from November 1, 2023. The Credit Facility aggregate available commitment further reduced upon the Company's request to $100 million from November 1, 2024. The purpose of the Credit Facility is to provide senior secured borrowing facilities to the Fund, to provide a revolving loan facility to the Company and to provide a secured letter of credit facility for use by the Company to support its reinsurance obligations. From November 1, 2024, the Credit Facility no longer included a revolving loan facility.

The Credit Facility can also be used to provide collateral to support any initial amounts and variation margins payable relating to the foreign exchange forward contracts described under Note 6, "Derivatives". As of December 31, 2024, the related amount due was $nil (December 31, 2023: $4.5 million) and reduced the aggregate commitment amount available under the Credit Facility as of that date.

8. Financing arrangements (cont.)

The Credit Facility is secured by certain of the Company's investments managed by BISA-II in the Fund and is subject to various covenants. These covenants include specified liquidity requirements with regards to the Fund's investments, credit limits based on the fair value of the Fund and certain restrictions on the composition of the Fund's investment portfolio.

As of December 31, 2024, the letters of credit outstanding under the Credit Facility totaled $40.0 million (December 31, 2023: $79.5 million). In addition, the Fund directly borrowed $60.0 million under the terms of the Credit Facility (December 31, 2023: $70.0 million). The Fund pays interest on amounts outstanding on the first business day of each month at a rate equal to a secured overnight financing rate ("SOFR") plus 2.05% per annum (totaling 6.60% as of December 31, 2024, and 7.39% as of December 31, 2023) in accordance with the terms defined in the Credit Agreement dated July 6, 2016 and its subsequent amendments. The interest rate resets monthly, two business days prior to the first calendar day of the month and any outstanding accrued but unpaid interest will capitalize into the principal. For the year ended December 31, 2024, the Fund incurred $5.1 million (2023: $5.0 million) in interest expense relating to the Credit Facility, at a weighted-average rate of 7.21% (2023: 7.08%), which is shown as part of "Net investment income" in the Consolidated Statements of Income.

During the year ended December 31, 2024, the total expense incurred by the Company including the Company's revolving loan facility interest costs and costs relating to the letter of credit facilities was $1.0 million (2023: $2.3 million).

Other Letters of Credit Facilities

During 2024, the Company entered into agreement with HSBC Bank Bermuda Limited which provides a secured letter of credit facility for use by the Company to support certain of its reinsurance obligations. This facility is secured by certain money market funds which are reported as part of "Cash and cash equivalents" in the Consolidated Balance Sheets. As of December 31, 2024, the letters of credit outstanding under this facility totaled $8.3 million. During the year ended December 31, 2024, the total expense incurred by the Company relating to this letter of credit facility was $0.1 million (2023: $nil).

9. Shareholder's equity

Common Shares

The authorized, issued and outstanding share capital of the Company as of December 31, 2024 and 2023 consisted of 1,000,000 common shares with a par value of $1.00 per share.

Distributions to Parent

During the year ended December 31, 2024, the Company paid a distribution from contributed surplus to the Parent of $52.0 million (December 31, 2023: $nil).

Dividends

During the year ended December 31, 2024, the Company declared and paid dividends of $130.0 million (December 31, 2023: $55.0 million).

10. Share-based compensation

Under its Board approved share-based compensation plans, the Parent grants stock options and restricted share awards to eligible employees of the Company.

(a) Share-settled awards

During 2020, restricted share units ("RSUs") were granted to certain employees of the Company ("2020 RSUs"). These RSUs fully vested during 2023. During the year ended December 31, 2024, the Company recognized $Nil (2023: $Nil) as an expense relating to the 2020 RSUs and nil (2023: 39,109) of the 2020 RSUs vested.

(b) Cash-settled awards

The Company granted cash-settled restricted share units to certain employees of the Company. These cash-settled awards were granted with a requisite service period of 3 years, with 33% of the grants vesting annually. The following table provides the activity summary of the Company's cash-settled restricted share units:

	Number of Cash-Settled Restricted Share Units
Nonvested restricted share units – December 31, 2022	433,927
Granted	292,537
Vested	(172,659)
Nonvested restricted share units – December 31, 2023	553,805
Granted	190,120
Vested	(270,171)
Nonvested restricted share units – December 31, 2024	**473,754**

During the year ended December 31, 2024, the Company recognized $3.8 million (2023: $3.8 million) as an expense related to cash-settled restricted share units.

(c) Stock Options

During 2016 the Company granted options to certain employees to purchase Company's shares. These stock options are fully vested, and no expense was incurred in relation to stock options during the years ended December 31, 2024 and 2023. As of December 31, 2024, the Company had 441,695 (2023: 441,695) stock options outstanding. The stock options expire on June 30, 2026.

11. Retirement plans

For purposes of providing employees with retirement benefits, the Company maintains self-directed defined contribution retirement plans. Contributions are based on the participants' eligible compensation. For the year ended December 31, 2024, the Company expensed $0.1 million (2023: $0.1 million) related to this retirement plan.

12. Income taxes

Harrington Re is incorporated under the laws of Bermuda and, under current Bermuda law, is not required to pay any taxes in Bermuda on income or capital gains. We have received an assurance from the Minister of Finance in Bermuda that, in the event that any legislation is enacted in Bermuda imposing any tax computed on profits, income, gain or appreciation on any capital asset, or any tax in the nature of estate duty or inheritance tax, such tax will not be applicable to the Company until March 31, 2035.

The Bermuda Corporate Income Tax Act ("Bermuda CIT Act") was enacted on December 27, 2023 and is effective beginning in 2025 for Bermuda businesses that are part of multinational groups with annual revenue exceeding EUR750 million. The Company has determined that it does not fall within the scope of the Bermuda CIT Act.

The Fund is an exempted limited partnership registered in the Cayman Islands, and under the current law in the Cayman Islands no income taxes are imposed on the Fund.

The Company does not consider itself to be engaged in trade or business in the United States and intends to conduct its operations in a manner that will not cause it to be treated as engaged in a trade or business in the United States and, therefore, does not expect to be required to pay U.S. federal income taxes other than the U.S. excise tax on reinsurance premiums.

The United States imposes an excise tax on insurance and reinsurance premiums paid to non-U.S. insurers or reinsurers with respect to risks located in the United States. The rate of tax, unless reduced by an applicable U.S. tax treaty, is one percent for all reinsurance premiums. The Company incurs federal excise taxes on certain of its reinsurance transactions. Such amounts are reflected as acquisition costs in the Company's Consolidated Statements of Income.

FASB guidance regarding the accounting for uncertainty in income taxes prescribes a "more likely than not" threshold for the financial statement recognition of a tax position taken or expected to be taken in a tax return, assuming the relevant tax authority has full knowledge of all relevant information. The amount recognized represents the largest amount of tax benefit that is greater than 50% likely of being ultimately realized. A liability is recognized for any benefit claimed, or expected to be claimed, in a tax return in excess of the benefit recorded in the consolidated financial statements, along with any interest and penalty (if applicable) on the excess. The Company recognizes interest and penalties relating to unrecognized tax benefits in the provision for income taxes. Changes in recognition or measurement are reflected in the period in which the change in judgement occurs.

As of December 31, 2024, the Company's total unrecognized tax benefits, including interest and penalties, were $nil (as of December 31, 2023: $nil).

13. Related party transactions

In June 2016, AXIS Capital Holdings Limited through its wholly-owned subsidiary, AXIS Ventures Limited (since March 8, 2023, known as AXIS ILS Ltd.), invested $100.0 million and acquired 18.1% of the Parent's common equity. The investment was subsequently increased to 19.0% of the Parent's common equity. Following tender offers made by the Parent for a portion of its outstanding shares, AXIS Capital currently owns 21.6% of the Parent's common equity. Under the shareholders' agreement dated July 1, 2016, as amended and restated (the "Shareholders' Agreement"), as long as the Services Agreement is in effect and AXIS Capital retains a shareholding in the Parent, AXIS Capital has the right to appoint a director to the Group's Board of Directors.

The Company has engaged AXIS Reinsurance Managers Limited ("ARM" or the "Liability Manager"), a wholly-owned subsidiary of AXIS Capital, to act as its liability manager pursuant to a long term services agreement dated July 1, 2016, as amended and restated (the "Services Agreement"). The Liability Manager manages the day-to-day underwriting activities of the Company subject to the provisions of the Services Agreement and the oversight of management and Board of Directors of the Company. The Services Agreement also provides for ARM to provide certain other services to the Company, including claims handling, risk management and information technology support as specified in the agreement. The Services Agreement has limited termination provisions and is set to initially expire on June 30, 2025, provided, however, that the term is set to automatically renew for successive three-year periods following such initial term unless the Company or the Liability Manager gives written notice of cancellation at least two years prior to the end of the then current term. No such written notice was given or received and as such the Services Agreement has automatically renewed until June 30, 2028.

In return for its services, ARM receives fees from the Company, which include underwriting fees as well as a services fee as a reimbursement for the additional services provided to the Company.

In June 2016, the Blackstone Group, through its wholly-owned subsidiary, together with investment entities formed for certain senior professionals and employees of the Blackstone Group, have in total acquired 9.9% of the Parent's common equity. Following tender offers made by the Parent for a portion of its outstanding shares, the Blackstone Group currently owns 10.8% of the Parent's common equity. Pursuant to the Shareholders' Agreement, as long as the Investment Management Agreement is in effect and the Blackstone Group retains a shareholding in the Parent, the Blackstone Group has the right to appoint a director to the Group's Board of Directors.

Pursuant to the Investment Management Agreement, BISA-II serves as the investment manager (the "Investment Manager") of the assets of the Company that are invested in the Fund. Harrington Re is the sole limited partner of the Fund. The Fund seeks to achieve attractive risk-adjusted returns through a portfolio of diversified investments, which includes a significant allocation to alternative assets.

Pursuant to the Investment Management Agreement, the Investment Manager provides certain administrative and investment management services to the Fund, including the investigation, evaluation, selection, allocation, negotiation, structuring, commitment to, monitoring of and disposition of investments (including allocation of the Fund's assets among investment strategies). The Investment Management Agreement has limited termination provisions and is set to initially expire on the earlier of (i) the liquidation of the Fund and (ii) June 30, 2025, provided, however, that the term is set to automatically renew for successive three-year periods following such initial term unless the Company or the Investment Manager gives written notice of cancellation at least two years prior to the end of the

13. Related party transactions (cont.)

then current term. No such written notice was given or received and as such the Investment Management Agreement has automatically renewed until June 30, 2028.

Pursuant to the Letter Agreement, the Investment Manager provides (i) certain reporting on the Fund's investment portfolio to the Company's management and the Board and (ii) assistance and support to the Company's management in connection with the Investment Manager's management of the Fund's portfolio by providing certain supplemental reporting, data, analysis and other support (as mutually agreed) with respect to the Fund.

In return for its investment services, the Investment Manager receives a management fee from the Fund and the General Partner receives a performance fee from the Fund.

A director of AXIS Capital and certain management and senior professionals of the Blackstone Group own common shares of the Parent.

During the years ended December 31, 2024 and 2023, the Company exclusively wrote reinsurance business with various entities in the AXIS Capital group for property and casualty risks on a quota share basis.

The related Consolidated Statement of Income and Consolidated Balance Sheet account balances for these transactions, including the related ARM fees, for the years ended December 31, 2024 and 2023 were as follows:

	2024	2023
Consolidated Statement of Income items:		
Gross premiums written	$ 218,327	$ 292,358
Net premiums earned	265,665	298,650
Losses and loss expenses	184,387	223,101
Acquisition costs	73,092	81,993
General and administrative expenses	863	1,542
Corporate expenses	354	647
Consolidated Balance Sheet items:		
Reinsurance balances receivable	126,804	171,598
Deferred acquisition costs	44,122	57,470
Prepaid expenses	-	1,178
Reserve for losses and loss expenses	794,479	879,973
Unearned premiums reserve	$ 149,089	$ 196,426

14. Statutory financial information

Harrington Re is registered as a Class 4 insurer under the Insurance Act 1978, amendments thereto and Related Regulations of Bermuda (the "Insurance Act"). Under the Insurance Act, the Company is required to annually prepare and file with the Bermuda Monetary Authority a statutory financial return which includes statutory financial statements, a capital and solvency return and audited financial statements.

At the time of filing its statutory financial statements, Harrington Re is also required to deliver to the BMA a declaration of compliance, in such form and with such content as may be prescribed by the BMA, declaring whether or not Harrington Re has, with respect to the 2024 financial year (i) complied with all requirements of the minimum criteria applicable to it; (ii) complied with the minimum margin of solvency as of its financial year end; (iii) complied with the applicable enhanced capital requirements as of its financial year end; and (iv) observed any limitations, restrictions or conditions imposed upon issuance of its license, if applicable.

The Insurance Act provides that the value of the statutory assets of an insurer must exceed the value of its statutory liabilities by an amount greater than its prescribed minimum solvency margin ("MSM").

The MSM that must be maintained by Harrington Re with respect to its general business is the greater of (i) $100 million, or (ii) 50% of net premiums written (with a credit for reinsurance ceded not exceeding 25% of gross premiums) or (iii) 15% of net loss and loss expense provisions and other insurance reserves or (iv) 25% of the ECR (as defined below) as reported at the end of the relevant year.

Harrington Re is also required to maintain available statutory economic capital and surplus at a level equal to or in excess of its enhanced capital requirement ("ECR") which is established by reference to either the Bermuda Solvency Capital Requirement ("BSCR") model or an approved internal capital model, provided that the ECR shall at all times be an amount equal to, or exceeding the margin of solvency. The BSCR model is a standardized statutory risk-based capital model developed by the BMA which is used to measure the risk associated with Harrington Re's assets, liabilities and premiums. In 2016, the BMA implemented an Economic Balance Sheet ("EBS") framework which was used as the basis to determine the ECR.

The required and available statutory economic capital and surplus as of December 31, 2024 and 2023, in the table below are based on this EBS framework:

	2024	2023
Required statutory capital and surplus	$ 400,736	$ 430,305
Available statutory capital and surplus	$ 832,852	$ 1,000,616

Harrington Re is required to calculate and submit the ECR to the BMA annually. Following receipt of the submission of Harrington Re's ECR, the BMA has the authority to impose additional capital requirements or capital add-ons, if it deems necessary. If an insurer fails to maintain or meet its ECR, the BMA may take various degrees of regulatory action. As of December 31, 2024, the Company was in compliance with all solvency requirements of the Insurance Act.

14. Statutory financial information (cont.)

Harrington Re is also required under the Insurance Act to maintain a minimum liquidity ratio whereby the value of its relevant assets is not less than 75% of the amount of its relevant liabilities for general business. As of December 31, 2024, Harrington Re met the minimum liquidity ratio requirement.

Harrington Re's statutory net income for the year ended December 31, 2024 was $51.1 million (2023 net income: $48.8 million). Statutory accounting differs from U.S. GAAP in the reporting of certain items such as intangible assets and prepaid expenses.

Harrington Re is prohibited from declaring or paying a dividend if it is in breach of its MSM, ECR or minimum liquidity ratio or if the declaration or payment of such dividend would cause such a breach. Where an insurer fails to meet its MSM or minimum liquidity ratio on the last day of any financial year, it will be prohibited from declaring or paying any dividends during the next financial year without the approval of the BMA.

In addition, Harrington Re is also prohibited from declaring or paying in any financial year dividends of more than 25% of its total statutory capital and surplus (as shown on its previous financial year's statutory balance sheet) unless it files (at least seven days before payment of such dividends) with the BMA an affidavit signed by at least two directors (one of whom must be a Bermuda resident director if any of the insurer's directors are resident in Bermuda) and the principal representative stating that it will continue to meet its solvency margin and minimum liquidity ratio. Furthermore, Harrington Re must obtain the BMA's prior approval for a reduction by 15% or more of the total statutory capital as set forth in its previous year's financial statements.

The Bermuda Companies Act 1981 further limits Harrington Re's ability to pay dividends and make distributions from contributed surplus to its Parent if there are reasonable grounds for believing that: (a) Harrington Re is, or would after the payment be, unable to pay its liabilities as they become due; or (b) the realizable value of Harrington Re's assets would thereby be less than the aggregate of its liabilities.

15. Subsequent events

The Company has completed its subsequent events evaluation for the period subsequent to the balance sheet date of December 31, 2024, through May 30, 2025, the date these financial statements were available to be issued and has determined that there were no subsequent events requiring adjustment to or disclosure in the consolidated financial statements.